

US, India in no hurry on trade deal

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Sectoral deals on energy and defense, along with large Indian investments in the US, have reduced Washington's urgency to finalize a formal trade deal.

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Indian officials believe they can wait for better terms, as rupee depreciation has softened the impact of the current 10% tariff on Indian industry.

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The absence of a deal means that US access to India's heavily protected agricultural market and clarity on bilateral digital and data arrangements will remain unresolved.

India is comfortable with the 10% tariff status quo for now. Following Secretary Marco Rubio's visit to India in May, and US Trade Representative Jamieson Greer's trip in June, the deal looked close to completion (see: Energy and defense side deals indicate interim trade agreement is in sight). However, once the pressure from President Donald Trump eased and the negotiations were delegated to the USTR, India decided to wait for the forthcoming Section 301 overcapacity tariffs. Indian Commerce Secretary Piyush Goyal has reiterated that India will complete the deal once it receives "competitive" tariffs.

India has little incentive to rush negotiations, especially given that rupee depreciation against the dollar since early 2025 makes the current 10% tariff level acceptable to Indian industry. India's fastest-growing export to the US is Apple iPhones, which face zero tariffs. Overall, 45% of India's exports to the US are not subject to the 10% tariff.

Overcapacity tariffs will likely retain India's tariff advantage over its primary competitors—China and Vietnam. Most of the 16 economies investigated will see overcapacity tariffs topping up forced labor duties to restore nominal tariffs to levels prior to the US Supreme Court overturning IEEPA tariffs. 8% overcapacity tariffs would raise India's nominal rate to 18%—the rate agreed in the interim deal but not implemented pre-ruling—remaining below basecase China and Vietnam rates of 20% (7.5% overcapacity + 12.5% forced labor).

Indian commitments have diluted Trump's interest finalizing a deal. Earlier in 2026, US ambassador to India Sergio Gor reached an understanding with Prime Minister Narendra Modi's government for India to

ramp up its purchases of US energy, finalize several defense deals, and commit to \$20 billion worth of investments in the US. India's willingness to go ahead with these other elements of the trade agreement under discussion seems to have blunted Trump's interest in the trade agreement and mitigated a period of personal friction with Modi.

The US-India energy relationship is undergoing a transformation. The Iran conflict has sharply accelerated Indian moves to diversify energy imports away from the Persian Gulf. The US has emerged as India's largest provider of liquefied petroleum gas and one of its top providers of LNG. Crude oil imports remain minimal, largely because the US mostly produces sweet light crude, and Indian demand centers on medium-heavy crude. However, India now sources more than 4% of its total crude imports from Venezuela, which the Trump administration treats as equivalent to a US product. Venezuelan medium-heavy crude also helps India hedge against future disruptions to Russian crude imports—for example, if the latest US sanctions package passes.

Indian defense purchases are also proceeding. India has moved ahead with several medium-sized purchases of US weapon systems, though Washington assigns them a lower priority. The purchases include Excalibur artillery shells; support equipment for Apache helicopters and M777 artillery; the lease of two MQ-9B Sea Guardian drones, and, most recently, Javelin anti-tank missiles. India has yet to follow through on plans for larger purchases, such as P8I maritime patrol aircraft and C130J transport planes, partly because the Trump administration is currently more interested in building domestic military stocks than defense exports.

Indian investment pledges give both leaders something to highlight. The US's demand for an annual \$20 billion in investment has proven easy to meet on a commercial basis. Connections run deep between the two countries' pharma and software sectors, and with the Trump administration willing to authorize access to US technology, Indian firms have ramped up their purchases of US assets. India's Sun Pharmaceuticals' \$11.5 billion purchase of US firm Organon pushed India past the halfway mark of its annual commitment. Other Indian firms have already promised an additional \$9 billion in investments.

India has encouraged US big tech to increase investments. US tech giants Microsoft, Amazon, and Google have committed close to \$80 billion to build out AI and cloud data center infrastructure in India, despite a lack of clarity on India's bilateral data policy. While India remains committed to AI sovereignty and an open-source architecture, it recognizes that it needs foreign partners for both the infrastructure and software elements. India is the second-largest user market for OpenAI's ChatGPT and Anthropic's Claude, and its stringent restrictions, if not outright bans, on Chinese digital products, make US big tech its natural partner. However, digital trade rules—which would be covered by an increasingly unlikely second-phase trade agreement—remain a point of friction. The US seeks the free flow of data across borders, but Indian regulators have insisted that financial data and telecom logs be stored domestically under India's Digital Personal Data Protection Act.

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